

The Prospects of Reformism

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As I discussed in the series "The Rise and Fall of the Capitalist World-System", the present world-system has already entered the stage of transnational industrial capitalism. The countries of the capitalist world have changed from the dichotomy of industrial countries and agricultural-mineral resource countries in the era of national industrial capitalism into a trichotomy of high-end industrial-financial countries, industrial countries and agricultural-mineral resource countries. This change in the structure of the world-system is bound to be reflected in working-class reformist politics. I touched on this question in my answer "If the Alternative for Germany Wins the State Election in Saxony-Anhalt, What Will Change in German Politics?", but not systematically enough. In this article I shall analyse the question more systematically.

The era of national industrial capitalism is the era in which the division of labour within industry was highly concentrated inside nation-states, and in which, because most countries practised high tariffs most of the time, national markets were also highly insulated from one another. At this stage, the unity of the working class within the nation-state provided the organisational and ideological foundation for reformist politics. In the stage of transnational industrial capitalism, by contrast, enterprises already carry out the division of labour within industries on a global scale, and global value chains are spread across the countries of the world; the working class's continued use of the forms of struggle of a single nation-state has become more and more out of keeping with the economic base.

The aim of the reform movement was to win a better life for the working class and the broad labouring people within the capitalist system. But the labouring people of countries in different positions in the world-system face different problems. In the centre countries the productive forces develop slowly, and for the labouring people to improve their lives substantially is impossible without changing the relations of production and of distribution. In the peripheral and semi-peripheral countries, by contrast, the productive forces have the potential to develop quickly: so long as the capital goods and production techniques of the centre countries can be imported effectively, the proletariat and other labouring people can raise their living standards through the development of the productive forces alone, without any major change in the relations of production and distribution.

Concretely: in the era of national industrial capitalism, in the centre countries that had already completed industrialisation, the working class — the majority of the labouring population — could not improve its life at all through the goodwill of the bourgeoisie or through rising productivity alone,

without waging reformist struggles for higher wages, shorter hours and taxes on the bourgeoisie. The form of the working class's reformist struggle in the centre countries was therefore trade unionism and the social democracy that built the welfare state. In the thirty years after the war, reformism brought the working class of the capitalist countries of Europe and America what is called the "golden age."

For the agricultural countries on the periphery of the world-system, on the other hand, the first condition for improving life was to industrialise and develop the productive forces. Because imperialism suppressed the industrial development of the peripheral countries, those countries had to develop by "decoupling" from the centre countries to some degree. The reformism of the peripheral countries therefore mostly took the form of a left-wing nationalist compromise between capital and labour. But to obtain advanced technology, a peripheral country must exchange its own economic surplus with the centre countries. This means that it must squeeze the peasants and workers in some form in order to complete the "primitive accumulation" of industrialisation. Reformism means that the degree of squeezing will be markedly lower than in countries that do not adopt reformist policies. The reformism of the peripheral countries thus actually slows down their industrialisation. The Soviet Union and China, which practised the scissors differential, and Korea, which squeezed its peasants ruthlessly, industrialised markedly faster than India, which practised reformism. The landlords and rich peasants in the countryside and the workers in the cities protected by law and trade unions held back the pace of capital formation. I shall not enlarge on this question here; I shall write another article on it when the occasion arises.

In the era of transnational industrial capitalism, because the structure of the world-system has changed, the centre countries are turning from industrial societies into so-called "post-industrial" societies, while the agricultural countries have met a historic opportunity for industrialisation. Because the imperialism formed in the stage of national industrial capitalism suppressed the industrial development of the peripheral agricultural countries, a potential difference in the productive forces of more than a hundred years grew up between the two kinds of country. After 1980, the relocation of the centre countries' industries to the peripheral countries — above all to China — released that potential difference in the space of just three or four decades, turning it into an immense motive force of development and transforming the face of society and the lives of working people within a single generation. In these countries the improvement of working people's lives was achieved through industrialisation and through the growth of the productive forces. Changing the relations of production and distribution could not yet be put on the agenda. To develop the economy, to enlarge the economic cake, meant development; and although talk of dividing the cake appeared often, and the masses wanted it, not many people were willing to wage a serious struggle over it.

In the centre countries, by contrast, as the factories disappeared on a large scale the working class changed from being mainly blue-collar to mainly white-collar. Among the older generation of

workers there is a great deal of unemployment and strong discontent, but among the younger generation there are many white-collar workers, who obtain more job opportunities as their countries' enterprises expand globally. This V-shaped division has made it hard for the working class to form a common force. In such circumstances what reformist struggle can do is mostly to oppose neoliberalism and defend the legacy of the welfare state.

During the historical period in which the centre countries deindustrialised and the peripheral countries industrialised, then, reformism was in decline. This corresponds roughly to the years from 1980 to 2010.

As the centre countries completed their deindustrialisation and the room for turning blue-collar workers into white-collar ones was largely exhausted, the space for reformist struggle reappeared. After the 2008 financial crisis, left-wing reformist forces in Europe and America rose rapidly. But it was precisely in this process that the limits of reformism also showed themselves. Take the European countries that pursue reformism: because their economies are subject to all kinds of constraints at the EU level, reformist policies are hard to carry out. But even if a country left the EU, under conditions of economic globalisation a single country applying reformist policies on a large scale would very likely trigger capital flight and a rise in unemployment, in turn hollowing out the very basis of reformist politics. Most of the reformist left-wing parties governing in the centre countries are therefore doing little more than guarding the legacy of the welfare state and making minor repairs. This shows that in the era of transnational industrial capitalism, reformism must go beyond the bounds of the nation-state if it is to enjoy relatively lasting success.

With the rise of China's advanced industry and its ascent into the ranks of the centre countries, the original centre countries have met extremely fierce competition. Because wages in the semi-peripheral industrial countries are markedly lower than in the post-industrial centre countries, enterprises in those countries can use their cost advantage to keep nibbling away at the market share of firms in the original centre countries. As the saying goes, the waves behind push on the waves before. In these circumstances, any reformist policy that an original centre country adopts for the working class on its own will find it very hard to produce the intended effect. Industrial decline necessarily brings higher unemployment and falling real incomes; the working class's struggles can slow that process at best, and reversing it is all but impossible. Indeed, many European enterprises have already begun moving their high-end manufacturing and research and development departments to China, closing the wage gap with their competitors to some degree in order to win a chance of survival.

Yet it is precisely in this period that the space for reformism has reappeared.

As China completes its industrialisation and begins its transformation into a centre country, the share of its low- and mid-end manufacturing will fall sharply while the share of high-end

manufacturing and modern services will rise rapidly. This makes the practice of undervaluing the national currency more and more unsuitable. In the course of a semi-peripheral country's transformation into a centre country, therefore, a large appreciation of the currency is bound to occur. At the same time, as white-collar workers make up a growing share of the labouring population, the general level of income will converge towards the present level of white-collar wages even without considering reformist struggle. If, for example, China's after-tax wage level reaches 7000 yuan and the currency appreciates by 30%, after-tax income will reach about 1200 euros at 2026 values — basically the Polish level, and close to the Italian and Spanish level. The industrial decline of the centre countries may further accelerate this convergence of income levels. There will then be no substantive difference between the treatment and living standards of the working class in the original centre countries and in the new centre country, that is, China. The material basis for a transnational unity of the working class in the centre countries will have been formed.

Meanwhile in China, the "base" effect brought about by the earlier tremendous leap in the productive forces is beginning to fade, and the new generation of the working class is beginning to form a clearer understanding of its own class position. If that change in understanding turns into action, it will push hourly wages higher, which will help to weaken the advantage Chinese enterprises derive from using low-cost labour in competition. For the working class of the original centre countries, if the treatment of Chinese workers does not improve, their own reformist struggle cannot unfold; the capitalists at home will instead urge them to "restore the 40-hour week" and "work more." The working classes of the original centre countries and of the new centre country therefore stand to gain by helping one another and waging struggles to raise labour rights and improve working-class living standards. The rise of the working class's strength in the new centre country will decide the direction of reformist struggle throughout the centre of the world-system.

Because the new batch of countries that might ascend to the centre of the world-system are still in the course of industrialisation, and within 20 to 30 years cannot deliver an impact of this magnitude to China or to Europe and America, the national working classes throughout the centre region of the world-system — East Asia, the EU and North America together — will enjoy space for reformist struggle. The momentum of reformism's rise is already faintly visible, and 10 years from now it will very likely reach a genuine high tide.

The crux of the question is whether the working classes of the centre countries can achieve transnational unity and unfold struggle simultaneously in many countries against the bourgeoisie, above all the transnational bourgeoisie. If the struggle is confined to one country, the bourgeoisie can counter the workers by adjusting the production or research and development plans of its subsidiaries in other countries. If the workers of many countries act in unity, the employers will have to compromise with labour. Just as migrant workers newly arrived in the cities find it hard to empathise with laid-off state-enterprise workers, so, between the workers of centre countries and

semi-peripheral countries whose income levels differ greatly, such transnational unity can hardly take shape. Clearly, the working classes of the centre countries have roughly comparable income levels, can empathise with one another, and have a real need to struggle; the question is whether they can break through political and ideological barriers and establish links.

As for the semi-peripheral and peripheral countries of the world-system, over the past twenty or thirty years the improvement of working people's lives has still been based mainly on developing the productive forces. In these countries the working class's core demand is still that the government use the country's resources and manpower to modernise infrastructure, agriculture and industry quickly, provide jobs for the peasants coming to the cities, and establish the most basic social welfare system. In this historical period, working-class reformist politics aimed at adjusting the relations of production and distribution will be temporarily stalled or in retreat.

Thirty years from now, semi-peripheral powers such as India and Vietnam will begin, or will already have begun, to ascend towards the position of centre countries; but as I analysed in another article ("Can the World Make Room for a Developed China?"), the world-system can no longer accommodate so many centre countries. The ruthless competition among the centre countries will inevitably give rise to war, whose breadth and intensity will exceed those of the several wars we see today. And in the era of transnational industrial capitalism, the effects of war will very quickly be transmitted to enterprises and the masses in every country.

Because a great crisis is very likely to break out before 2055 (see "Understanding the Capitalist Long Wave in Depth"), revolutionary politics may by then replace reformist politics as the mainstream. But if revolutionary politics does not develop, or does not succeed, and the capitalist world-system is preserved, the next step in that world-system's evolution will be the fragmentation of the centre-periphery structure, with the living standards of working people in every country becoming thoroughly homogenised. Reformism will then sweep the globe in this world that has truly become "flat", and lay the foundation for a new round of revolution.

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